

Blue Owl Capital

Sponsor-Led Take-Private

NYSE: OWL | Price (27 Mar 26): \$8.84
Street Price Target: \$15.62
Our Price Target: \$16.00

What Happened?

Blue Owl's share price decline has nothing to do with its business. Between September 2025 and March 2026, the stock fell from \$16 to \$9, which was a 44% drop whilst EBITDA grew 17% year-over-year to \$1.24B and cash from operations hit \$1.26B, its highest ever. The entire move was driven by one disclosure: OBDC II, a non-traded BDC sitting inside Blue Owl's credit platform, gated redemptions on roughly \$1.6B of investor capital and became the subject of a class-action lawsuit. Investors didn't distinguish between that vehicle and the rest of the platform, and the stock got sold indiscriminately. What the selloff ignored is that OBDC II represents less than 1% of Blue Owl's total AUM, and the \$307B platform underneath it is almost entirely locked-up permanent capital; it has no redemption mechanics, no liquidity risk, and no structural connection to the BDC issue. The TEV/EBITDA multiple compressed from ~19x at year-end 2024 to roughly 10x by March 2026 against a business whose revenue, EBITDA, cash flow, AUM, and fee-earning AUM all grew through the entire period. The set up is a multiple cut in half on sentiment, with fundamentals that went the other direction.

Buyout Thesis:

1. **Permanent Capital as a Debt Service Hedge**
The central risk in any alt manager LBO is AUM runoff under debt load if investors redeem, fees collapse and you can't service the stack. Blue Owl is structurally different. Roughly \$290B of its \$307B AUM sits in locked-up vehicles with no redemption mechanics. Fee-earning AUM of \$187B at ~80bps generates ~\$1.5B in management fees that don't require a single new fundraise to persist through 2030. KKR is layering \$3.7B of new debt onto a business whose revenue base is more predictable than most investment-grade corporates, the LBO structure works here precisely because the asset being levered up is itself a machine that contractually resists the market conditions that typically break leveraged buyouts.
2. **Private Credit Secular Growth**
Private credit is expected to grow from ~\$2 trillion to \$3.5T+ by 2030 as bank disintermediation and institutional yield demand accelerate. Blue Owl's \$187 billion of fee-earning AUM generates contractually recurring management fees largely insulated from market volatility. Credit / Direct Lending drives ~60% of revenue through long-dated fund structures. A take-private removes the public market discount and lets the sponsor compound fee-related earnings through the next phase of private credit expansion without quarterly scrutiny.
3. **Operational Cost Optimization**
SBC and total compensation run at 35–40% of revenue, inflated by public company structure and equity-linked incentives from the 2021 SPAC. Post-take-private, realign pay to cash-on-cash metrics, cut public company overhead (SEC reporting, IR, D&O, board costs), and rationalize G&A. We target 200–300bps of EBITDA margin expansion over the hold, taking margins from ~43% toward 45–46% by FY2030E. In an asset-light business doing \$1.2B+ EBITDA on \$2.9B revenue, modest margin improvement drops straight to

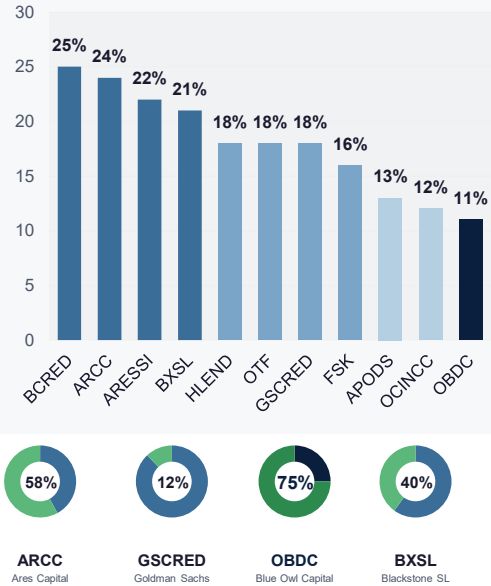
Navigating AI Fears Optimally

One of the industry sectors perceived to be most at risk of disruption from the AI boom is software, which happens to be one of the largest exposures for many BDCs. Our analysis of 2025 software holdings for the 11 BDCs with more than \$10B of holdings indicates an average exposure of 18%, with Blackstone Private Credit (BCRED) the highest at 25%. This is a real risk for lenders, as some portfolio companies could face existential pressure, valuations could decline, and investor redemption concerns have risen as markets worry certain software borrowers may struggle to refinance or repay debt.

Yet BDCs have potent defenses. Most loans are first-lien, LTV attachment points are usually sub-50%, and non-accruals and PIK rates remain low and stable. Blue Owl Capital Corp. (OBDC) sits at just 11%, the lowest software concentration among its peer set, materially below the 18% average and less than half the exposure of Blackstone Private Credit (25%) and Ares Capital (24%). This reflects deliberate portfolio construction: diversifying away from AI-disrupted credits while maintaining superior credit quality.

Blue Owl PC holds highest Credit

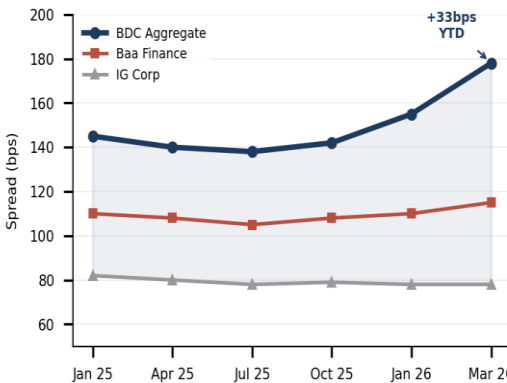
OBDC maintains approximately 75% revolver availability, one of the highest levels in the peer set, which supports ample liquidity, enhances capital structure flexibility, and provides meaningful deployment optionality as competitors pull back and market dislocation creates more attractive risk-adjusted lending opportunities.



Key Risks

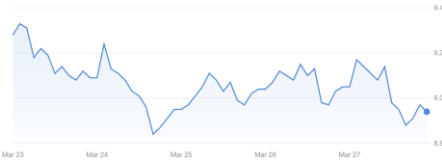
- OBDC II Contagion:** Redemption gating at OBDC II could trigger broader LP confidence erosion across Blue Owl's credit platform, leading to slower fundraising and potential AUM attrition beyond the isolated BDC vehicle.
- Credit Spread Widening:** If markets reprice risk, private credit valuations can come under pressure and investors may demand better terms. Even if Blue Owl is a manager rather than the direct owner of all risk, weaker credit conditions can slow origination and reduce enthusiasm for the asset class.
- Credit Cycle Exposure:** A prolonged downturn or rising defaults in private credit portfolios could compress fee income, increase non-accruals, and reduce exit multiples below base case.
- Regulatory Risk:** Heightened SEC scrutiny of non-traded BDCs could impose fee constraints or disclosure requirements, compressing margins post-acquisition.

BDC Spread Divergence vs IG Corporates (bps)



Target/Transaction Overview

Entry EBIDA:	\$1,236
Entry Multiple :	9.4x
Debt/EBITDA:	2.4x
Equity Check:	\$5,000
MOIC (Base):	4.8x
IRR (Base):	29.8%
Hold Period:	5Y



Sources of Funds

Revolving Credit Facility:	\$535.9
Senior Secured Term Loan A:	\$1,000
Senior Secured Term Loan B:	\$1,200
High Yield Notes:	\$1,000
Co-investors:	\$2,700
KKR Equity:	\$5,000
Rollover Equity / Management:	\$600

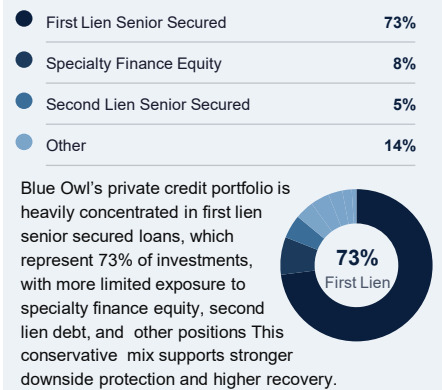
Uses of Funds

Equity Purchase Price:	\$6,472.3
Refinance Existing Debt:	\$3,668
NCI Buyout (40% of \$3849):	\$1,539.6
Est. Transaction Fees (2%):	\$233.6
OID/Financing Fees:	\$64.0
Cash to Balance Sheet:	\$58.4

DB Coverage

Rowan Das, UofT
+1-212-250-6600
Rotman Commerce Student Fund
Analyst
Oliver Yan, WSO
+1-236-258-8868
Western Investment Club
Analyst
Tim Lu, SFU
+1-604-445-9401
Beebie Endowment Asset Management
Analyst

Focused on the Top of Capital Structure



Blue Owl Capital

Sponsor-Led Going-Private

NYSE: OWL | Price (27 Mar 26): \$8.84
Street Price Target: \$15.62
Our Price Target: \$16.00

Debt Schedule

Year	Entry	2026	2027	2028	2029	2030
Total Debt	\$ 4,500	\$ 4,438	\$ 4,379	\$ 4,322	\$ 4,267	\$ 4,215
Mandatory Amortization	-	(80)	(90)	(100)	(100)	(100)
Cash Balance	\$ 58	\$ 58	\$ 58	\$ 58	\$ 58	\$ 58
Net Debt	\$ 4,442	\$ 4,380	\$ 4,320	\$ 4,263	\$ 4,209	\$ 4,157
EBITDA	\$ 1,236	\$ 1,355	\$ 1,518	\$ 1,673	\$ 1,823	\$ 1,987
Net Debt / EBITDA	3.6x	3.2x	2.8x	2.5x	2.3x	2.1x

The debt schedule reflects a conservative capital structure, with total debt declining modestly from ~\$4.5B at entry to ~\$4.2B by exit through scheduled amortization of ~\$80–100M per year. No aggressive cash sweep is assumed, and cash is held constant at a minimum balance, meaning excess free cash flow is not used to accelerate repayment. As a result, deleveraging is driven primarily by EBITDA growth rather than large reductions in absolute debt. EBITDA increases from ~\$1.24B to ~\$1.99B over the hold, which reduces net leverage from 3.6x to 2.1x even with limited paydown. This approach avoids reliance on optimistic capital allocation assumptions and keeps the model more conservative and defensible. The business becomes less levered as earnings scale, improving credit quality and resulting in a more stable and attractive capital structure at exit for a strategic or sponsor buyer.

MOIC Sensitivity: Entry vs.. Exit EV/EBITDA

IRR Sensitivity: Entry vs.. Exit EV/EBITDA

Entry EV/EBITDA	Exit EV/EBITDA				
	10.0x	12.0x	14.0x	16.0x	18.0x
8.0x	3.6x	4.4x	5.3x	6.2x	7.1x
9.0x	3.3x	4.1x	5.0x	5.8x	6.7x
9.45x	3.1x	3.9x	4.8x	5.6x	6.5x
10.0x	3.0x	3.7x	4.5x	5.3x	6.2x
11.0x	2.8x	3.5x	4.2x	5.0x	5.8x

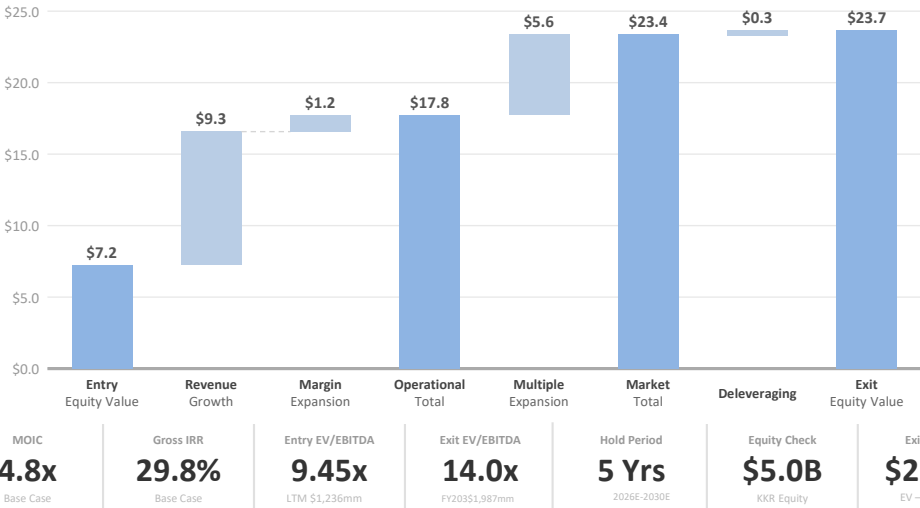
Entry EV/EBITDA	Exit EV/EBITDA				
	10.0x	12.0x	14.0x	16.0x	18.0x
8.0x	29.2%	34.4%	39.8%	44.7%	49.2%
9.0x	27.0%	32.3%	37.9%	42.9%	47.5%
9.45x	25.4%	30.9%	29.8%	41.7%	46.4%
10.0x	24.6%	29.8%	34.7%	39.8%	44.5%
11.0x	22.8%	27.9%	32.6%	37.9%	42.6%

Returns Sensitivity Analysis:

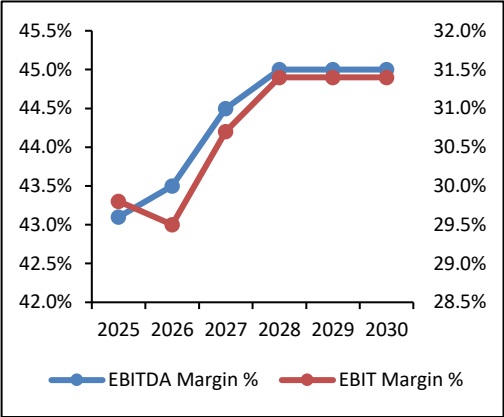
The IRR and MOIC sensitivity tables present the projected return profile across a range of entry and exit multiples under a consistent five-year hold assumption. At the base case of a 9.45x entry and 14.0x exit, the transaction generates a 4.8x MOIC and 29.8% IRR, supported by EBITDA growth and a normalization in valuation. Returns increase progressively as exit multiples expand, reflecting the impact of market re-rating, while remaining strong under lower exit scenarios due to underlying earnings growth. Changes in entry multiple have a smaller but still visible effect on returns, as a higher purchase price reduces equity upside across all cases. The tables also reflect a consistent relationship between MOIC and IRR, with no distortion from timing assumptions, ensuring that returns scale proportionally with equity value.

Absolute (\$) Value Creation

KKR Project OWL | Base Case Equity Value Bridge | \$mm



Value Creation: Margin Expansion



KKR's value creation plan would focus on cost discipline and compensation optimization rather than aggressive restructuring. Post-take-private, the firm can reduce stock-based compensation tied to public equity and transition toward cash and performance-linked incentives, improving compensation efficiency without impacting employee retention. In addition, eliminating public company costs such as investor relations, reporting, and governance expenses provides immediate G&A savings. KKR can also centralize support functions across credit, GP stakes, and real assets platforms, improving operating leverage as AUM scales. Finally, tighter expense management and more disciplined fundraising and deployment pacing can ensure revenue growth outpaces cost growth, supporting a sustainable expansion in EBITDA margins from ~43% to ~45% and EBIT margins from ~29% to ~31%.

Entry vs Exit Profile

	Entry	Exit
Revenue	\$ 2,870	\$ 4,416
EBITDA	\$ 1,236	\$ 1,987
EBITDA Margin	43.10%	45.00%
Net Debt	\$ 4,442	\$ 4,157
Net Debt / EBITDA	3.6x	2.1x
EV / EBITDA	9.45x	14.0x
Enterprise Value	\$ 11,680	\$ 27,818
Equity Value	\$ 8,300	\$ 23,661

Entry & Exit Conclusion

The Blue Owl LBO presents a compelling entry at 9.45x EV/EBITDA , a meaningful discount to the stock's current public trading multiple of roughly 10–11x LTM EBITDA ; made possible by the 50%+ selloff from February 2025 highs driven by semi-liquid fund redemption fears and the OBDC II class-action overhang, neither of which impair the underlying \$307B AUM base or recurring fee streams. KKR's \$9.72 offer (a 10% premium to the \$8.84 spot) captures this dislocation: you're paying a fair premium to the depressed share price while still locking in a sub-10x entry multiple that public markets wouldn't ordinarily offer on an asset manager of this quality. Over the five-year hold, EBITDA grows from \$1.24B to \$1.99B on 9% revenue CAGR and 190bps of margin expansion (43.1%→45.0%) via SBC rationalization and public company cost elimination, while net leverage naturally compresses from 3.6x to 2.1x with minimal debt paydown, the business simply grows into its capital structure. At a 14.0x exit (still below where peers like Ares and Apollo trade today), that produces \$23.7B of exit equity value against a \$5.0B check, generating a 4.8x MOIC and 29.8% gross IRR in the base case, with the sensitivity tables showing returns remain robust (3.9x / 25.4%) even if exit multiples compress to 12x.

Sources: Capital IQ (CapIQ), Bloomberg. All financial data presented in USD millions unless otherwise noted. Market data as of March 27, 2026. Share price, price targets, and trading multiples sourced from Bloomberg. AUM, fee-earning AUM, EBITDA, and cash flow figures sourced from company filings and Capital IQ.